

Alberta Tourism Market Monitor

Tourism to benefit from economic recovery expected for Alberta in 2017

Both ATB Financial and Toronto-Dominion Bank predict a modest recovery for Alberta's economy in 2017. In addition, the Conference Board of Canada's autumn 2016 *Travel Market Outlook for Metropolitan Areas*, forecasts that overall overnight visits in Calgary and Edmonton will increase by 2.6% and 2%, respectively, in 2017, compared to its forecasted numbers for 2016.

This is welcome news in comparison to the occupancy rates in Calgary and Edmonton that decreased 6.7 and 4.1 points respectively, between January and September 2016 over the same period last year. Average daily room rates year-to-date also decreased by 8.6% in Calgary and 5.1% in Edmonton over 2015. These declines may be attributed to fewer business travellers and the low price of oil, worldwide.

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In a positive contrast, indicators suggest that 2016 will be a good year for tourism in the Alberta Resorts region. Between January and September 2016, the occupancy rate and average daily room rate in the Alberta Resorts region (which include the resort communities of Banff, Lake Louise, Kananaskis, Canmore, and Jasper) were 69% and \$261 respectively. This represents an increase of 2.8 points and 10% respectively, over the same period in 2015.

In addition, the mountain parks of Banff, Jasper, and Waterton Lakes welcomed 5.8 million visitors between January and September 2016; an increase of 6.4% over 2015.

More good news about one of the signature national parks in Alberta may also positively impact visitation in 2017. Banff was named to *National Geographic Traveler's Best of the World list* for 2017, a highlight of 21 of must-see places in the world to visit. The City of Edmonton received similar accolades from *Canadian Geographic* for one of the top Canadian cities to visit in winter. These publications have a wide readership, including potential visitors around the world.

2015/16 Alberta Tourism Market Monitor
Alberta Culture and Tourism

	Jan.	Feb.	Mar.	Apr.	May	June	July	August	Sept.	Oct.	Nov.	Dec.	Yr-to-Date
Air Passengers 2016 (000's of arrivals and departures) ¹													
Edmonton International Total	602.7r	554.2r	578.3r	534.5p	592.0p	583.4p	645.0p	669.5p	588.9p				5,308.7p
Per cent change from 2015	-6.8%	-1.3%	-5.8%	-9.8%	-2.7%	-2.5%	-5.6%	-5.7%	-2.2%				-3.6%
Domestic	400p	397.9p	426.7p	399.5p	492.7p	497.6p	559.1p	586.2p	503.7p				4,263.5p
Per cent change from 2015	0.5%	4.5%	1.3%	-3.4%	12.3%	1.4%	-0.1%	0.5%	2.1%				2.0%
Transborder	97p	95.2p	95.5p	85.7p	70.5p	63.0p	60.2p	57.2p	61.7p				686.2p
Per cent change from 2015	-18.0%	-20.5%	-26.1%	-28.2%	-25.9%	-23.3%	-35.6%	-38.9%	-24.0%				-26.4%
International	65.4p	61.1p	56.1p	49.3p	28.8p	22.8p	25.7p	26.1p	23.4p				359.0p
Per cent change from 2015	-0.5%	0.2%	-11.2%	-17.8%	-9.1%	-10.5%	-16.1%	-20.8%	-14.4%				-9.8%
Calgary International Total	1,205.9r	1,193.5p	1,304.2p	1,198.6p	1,257.9r	1,322.1r	1,549.5r	1,562.9r	1,343.3p				11,937.8p
Per cent change from 2015	0.5%	3.8%	2.9%	-2.2%	0.1%	1.3%	2.4%	0.4%	3.7%				1.4%
Domestic	810.9r	810.7p	892.5p	836.6p	920.9r	966.9r	1,122.6r	1,140.8r	979.6p				8481.5p
Per cent change from 2015	1.2%	5.9%	6.3%	-0.9%	1.2%	1.2%	2.0%	-0.2%	3.1%				1.8%
Transborder	236.3p	237p	263.2p	222.2p	225.3p	241.0p	290.5p	284.8r	246.5p				2,246.9p
Per cent change from 2015	-7.2%	-6.5%	-6.3%	-11.8%	-5.2%	-1.0%	1.3%	-0.2%	1.8%				-3.8%
International	158.6p	145.8p	148.6p	139.8p	111.7p	114.1p	136.4p	137.3r	117.3p				1,209.4p
Per cent change from 2015	10.3%	11.5%	1.4%	8.2%	1.9%	7.5%	9.1%	7.0%	13.6%				7.7%
Fort McMurray International Total	67.9p	71.0p	76.4p	72.2p	9.8p*	46.2p	70.8p	74.2p	66.9p				555.4p
Per cent change from 2015	-30.3%	-21.9%	-21.5%	-22.9%	-89.4%	-53.0%	-27.4%	-24.4%	-28.7%				-35.4%
Highway Count 2016 (000's of vehicles) ²													
Hwy 1 -Sask border w-bound	57.1	57.5	71	67.2	79.2	83.5	113.5	108.8	84.9				722.7
Per cent change from 2015	-1.0%	0.4%	9.7%	-7.7%	-1.1%	-2.2%	2.2%	-0.5%	4.9%				0.5%
Hwy 1 - Banff Pk Gate (2-way)	542.1	550.8	626.1	573.6	685.7	741.1	1,031.4	1,014.10	758.6				6,523.5
Per cent change from 2015	8.0%	9.0%	15.0%	1.0%	1.0%	5.0%	8.2%	3.7%	9.3%				6.4%
Hwy 16 - Jasper Pk Gate (2 way)	90.1	89	118.8	114.4	149.1	173.6	254.6	249.4	168.7				1,407.7
Per cent change from 2015	-6.4%	-4.1%	6.4%	-7.3%	-0.1%	3.4%	8.9%	-1.9%	4.3%				1.2%
Hwy 16 - Blackfoot w-bound	143.9	139.2	160.3	160.8	174.8	175.2	186.2	188.9	173.4				1,502.7
Per cent change from 2015	-12.3%	-5.0%	-6.2%	-9.6%	-6.3%	-7.0%	-8.1%	-4.0%	-3.3%				-6.8%
National Park Attendance (000's of visitors) 2016 ³ Does not include Group Tours													
Banff	196.6	212.2	239.1	242.6	300.5	349.5	680.4	659.5	475.2				3,355.6
Per cent change from 2015	6.3%	12.5%	17.3%	-1.7%	1.4%	7.2%	7.9%	4.5%	9.7%				6.8%
Jasper	51.0	55.2	71.6	140.3	180.3	211.3	468.2	453.1	319.4				1,950.4
Per cent change from 2015	-3.4%	3.0%	11.7%	-4.6%	1.2%	5.2%	8.1%	1.8%	7.7%				4.2%
Waterton Lakes	8.5	11.5	13.1	19.6	41.9	80.0	130.7	122.3	69.6	20.0			517.2
Per cent change from 2015	26.9%	53.3%	40.9%	32.4%	6.9%	8.8%	14.3%	7.2%	16.6%	-9.0%			12.2%
Elk Island	13.8	16.2	19.4	27.9	36.0	40.1	54.1	52.8	38.1	20.1			318.5
Per cent change from 2015	43.8%	79.7%	31.2%	42.9%	-8.6%	11.2%	29.0%	10.3%	20.1%	-18.6%			16.0%
Wood Buffalo	n/a	n/a	n/a	0.05	0.50	0.54	0.95	0.81	0.40	0.02			3.27
Per cent change from 2015	n/a	n/a	n/a	193.8%	42.9%	27.4%	8.3%	-18.8%	13.8%	-32.4%			6.9%
Employment (000's of persons) 2016 Seasonally Adjusted ⁴													
Accommodation and Food Services	138p	135.7p	138.6p	141.0p	141.1p	146.9p	145.3p	151.2p	150.9p	148.9p			143.8p
Per cent change from 2015	-12.0%	-13.7%	-11.1%	-8.1%	-10.0%	-6.6%	-5.6%	-1.9%	1.1%	-2.2%			-7.1%
Sources: Edmonton International Airport, Calgary International Airport, Fort McMurray International Airport, Alberta Transportation, Parks Canada, Statistics Canada.													

	Jan.	Feb.	Mar.	Apr.	May	June	July	August	Sept.	Oct.	Nov.	Dec.	Yr-to-Date
Accommodation Indices 2016⁵													
Edmonton Occupancy Rate	49.7%	59.0%	61.0%	60.7%	74.7%	61.8%	59.2%	60.1%	60.2%				60.7%
Point change from 2015	-5.0	-6.7	-6.2	-7.3	10.5	-8.0	-5.7	-4.1	-4.4				-4.2
Average Daily Room Rate	\$128.02	\$131.88	\$131.91	\$130.77	\$124.87	\$130.17	\$127.5	\$127.57	\$128.14				\$129.46
Variance from 2015	-5.0%	-4.3%	-5.0%	-4.9%	-8.6%	-7.0%	-4.5%	-4.9%	-6.9%				-5.3%
Revenue per available room	\$63.58	\$77.83	\$80.46	\$79.38	\$93.28	\$80.51	\$75.43	\$76.63	\$77.18				\$78.79
Calgary Occupancy Rate	45.8%	50.9%	53.5%	56.4%	63.2%	67.8%	78.1%	70.8%	67.5%				61.6%
Point change from 2015	-9.4	-11.1	-10.2	-8.3	-6.5	-2.3	0.0	-5.0	-3.0				-6.3
Average Daily Room Rate	\$138.84	\$138.98	\$137.57	\$142.24	\$139.55	\$157.87	\$167.43	\$136.14	148.33				\$147.39
Variance from 2015	-10.4%	-10.7%	-12.1%	-8.6%	-12.1%	-7.7%	-8.2%	-7.4%	-5.7%				-8.3%
Revenue per available room	\$63.63	\$70.69	\$73.65	\$80.23	\$88.23	\$107.03	\$130.71	\$96.42	\$100.19				\$90.79
Alberta Resorts Occupancy Rate	42.5%	53.9%	55.4%	46.8%	63.5%	83.4%	93.1%	93.9%	87.5%				69.3%
Point change from 2015	1.6	0.5	5.6	-1.6	3.4	6.5	2.5	1.9	5.3				2.8
Average Daily Room Rate	\$184.26	\$195.28	\$195.40	\$180.42	\$213.16	\$279.58	\$335.54	\$332.47	\$283.97				\$260.63
Variance from 2015	0.9%	10.7%	14.3%	5.8%	7.0%	9.1%	15.5%	12.3%	10.3%				10.3%
Revenue per available room	\$78.40	\$105.22	\$108.31	\$84.36	\$135.40	\$235.58	\$312.41	\$312.04	\$248.52				\$180.59
Other Alberta** Occupancy Rate	35.3%	39.6%	40.4%	39.2%	42.4%	48.3%	51.6%	52.1%	50.2%				69.3%
Point change from 2015	-17.1	-15.9	-12.7	-9.8	-8.7	-10.3	-6.9	-4.8	-5.4				-10.4
Average Daily Room Rate	\$122.20	\$123.10	\$120.47	\$116.27	\$113.49	\$123.76	\$123.52	\$121.13	\$118.23				\$120.34
Variance from 2015	-9.0%	-7.8%	-8.3%	-10.4%	-10.7%	-3.7%	-4.5%	-5.9%	-7.5%				-7.4%
Revenue per available room	\$43.09	\$48.69	\$48.70	\$45.62	\$48.15	\$59.78	\$63.74	\$63.07	\$59.37				\$53.07
Total Alberta (excl. Resorts) Occupancy Rate	42.4%	48.3%	49.9%	50.3%	57.6%	58.0%	61.7%	60.0%	58.2%				54.0%
Point change from 2015	-11.5	-12.1	-10.4	-8.8	-2.8	-7.2	-4.5	-4.6	-4.3				-7.5
Average Daily Room Rate	\$129.50	\$131.06	\$129.79	\$129.88	\$126.09	\$137.81	\$141.35	\$128.30	\$131.68				\$132.44
Variance from 2015	-8.0%	-7.5%	-8.5%	-7.7%	-10.5%	-5.4%	-5.2%	-6.1%	-6.3%				-6.8%
Revenue per available room	\$54.94	\$63.24	\$64.82	\$65.35	\$72.64	\$79.94	\$87.26	\$76.97	\$76.70				\$71.47
Food Services and Drinking Places 2016 (\$ Millions) unadjusted⁶													
Total Receipts for Alberta	671.64r	663.95r	730.00r	742.74r	774.33r	753.86r	774.52r	777.09p					739.19p
Per cent change from 2015	-2.6%	0.9%	-1.5%	1.7%	0.4%	-0.3%	-1.3%	0.2%					0.0%
Historic Sites and Museums 2016 (000's of visitors)⁷													
Visitor Attendance	10.6p	26.4p	36.3p	33.6p	66.8p	84.3	190.0r	170.3p	63.0p	29.6p			710.9p
Per cent change from 2015	-6.2%	14.3%	4.0%	-3.4%	6.4%	-3.1%	10.2%	-10.7%	0.0%	-8.7%			-13.8%
Exchange Rates 2016⁸													
Canadian Dollar/U.S. Dollar (noon)	0.70	0.72	0.76	0.78	0.77	0.78	0.77	0.77	0.76				0.76
Canadian Dollar/ Euro	0.65	0.65	0.68	0.69	0.68	0.69	0.69	0.69	0.68				0.68
Canadian Dollar/ Great British Pounds	0.49	0.51	0.53	0.54	0.53	0.55	0.58	0.59	0.58				0.54
Oil Price: Western Texas Intermediate (WTI) 2016⁹													
Cushing, OK Spot Price (US Dollar per Barrel)	31.68	30.32	37.55	40.75	46.83	48.76	44.65	44.72	45.18				41.15
Hotel Projects Valued \$5 million or Greater 2016 (\$ Millions)¹⁰													
Total Value of Hotel Projects Inventory	\$899	\$1,102	\$1,177	\$799	\$773	\$773	\$773	\$764	\$758				\$758
Sources: CBRE Limited, Statistics Canada, Alberta Culture, Bank of Canada, WTI, Government of Alberta													

*Other Alberta includes Lethbridge, Red Deer, and other Alberta communities

**Please note that the Royal Alberta Museum closed on December 6, 2015. See Notes section for details.

Note: New monthly figures are shown in bold type. Revisions will be bolded.
r=revised p=preliminary

1. Air Passengers - Numbers are preliminary estimates of air passenger arrivals and departures at the Edmonton International and Calgary International Airports. From September 2015, total domestic passengers at Fort McMurray International Airport have been added.

Source: Edmonton International Airport, Calgary International Airport and Fort McMurray International Airport Websites.

2. Highway Traffic: These are monthly totals. The monthly average daily traffic (average number of vehicles per day) is calculated by dividing the monthly total by the number of days in the month passing the counter locations and in the direction indicated for a particular month. Automatic Traffic Recorders counts all vehicles by direction. Year-to-date is a cumulative total for all vehicles.

Source: Alberta Transportation's Automatic Traffic Recorders (ATR). <http://www.transportation.alberta.ca/3459.htm>

3. National Park Attendance - Attendance is reported as the number of visits to National Parks in Alberta. Data are preliminary unless otherwise noted.

Banff National Park and Jasper National Park reflect independent travellers only, and do not include people travelling as part of a tour group. The tour group data are included in the annual edition of the Market Monitor.

Source: Parks Canada.

4. Employment Food and Accommodation Sector - The employment figure represents all persons who worked for pay or profit or unpaid work in the food services and accommodation sector, including businesses or other ventures owned or operated by a related family member(s) during the reference period of the survey. The year-to-date total is an average for the year.

Source: Statistics Canada, Labour Force Survey.

5. Accommodation Indices for Major Regions - Occupancy rates and average daily room rates are based on monthly averages of all reporting hotels, motels and motor hotels in each designated region. Alberta Resorts includes the resort communities of Banff, Lake Louise, Kananaskis, Canmore and Jasper.

Revenue per available room is calculated using the occupancy rate and average daily room rate.

Source: CBRE Hotels Trends in the Hotel Industry National Market Report, with reproduction and use of information subject to CBRE Disclaimer and Restrictions as detailed at www.cbre.ca

6. Food Services and Drinking Places - The monthly survey of Food Services and Drinking Places provides estimates of the value of sales and the number of locations of restaurants, caterers, and drinking places by province and by industry at the North American Industry Classification System (NAICS) four-digit level. Includes total receipts from restaurants, caterers and taverns for chain and independent establishments. The target population is the 3 digit NAICS level of 722, which includes: Full-service restaurants, limited service eating places, special food places and drinking places. The year-to-date total is an average for the year.

Source: Statistics Canada, Food Services and Drinking Places.

7. Historic Sites and Museums - Visitor attendance figures are monthly totals based on fifteen historic sites, the Royal Tyrrell Museum of Paleontology and the Tyrrell Field Station. **The Royal Alberta Museum closed on December 6, 2015.

Source: Alberta Culture

8. Exchange Rate- this is the average monthly exchange rate.

Source: Bank of Canada.

9. Western Texas Intermediate - This is the average monthly oil price.

Source: Cushing, OK WTI Spot Price FOB.

10. Major hotel projects in Alberta - This is the inventory of hotel projects in Alberta, including new hotels and renovations valued at \$5 million or greater. It is not a complete list of hotel projects. The project stages included in the reported number are: announced, under construction and completed. If the project is completed, it will be removed from the inventory after 30 days from completion. More information on other tourism and recreation projects is available on the website provided below.

Source: Government of Alberta. <http://majorprojects.alberta.ca/>

20-Nov-2016